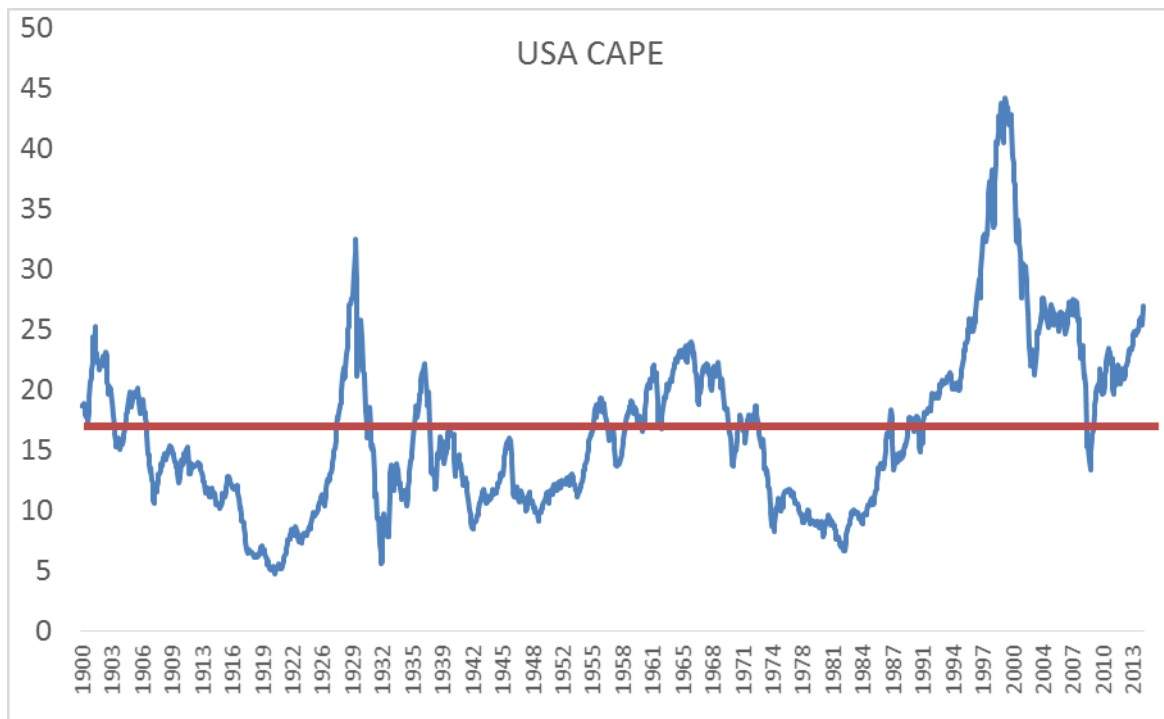


Figure 13 – Ten-Year Cyclically Adjusted Price-to-Earnings Ratio (CAPE), 1881- 2014



Source: Shiller

As you can see in the Figure 14, future returns are highly dependent on those starting valuations. The current reading as of December 2014 is 27, which is about 60% above the long-term average of around 16.5. At the current levels over 25, future median ten-year returns have been an uninspiring 3.5% nominal and 1.00% real since 1900. Not horrific and not quite yet in a bubble—but not that exciting either. Once CAPE ratios rise above 30, forecasted future median real returns are negative for the following ten years – it doesn't make sense to overpay for stocks!